

- more than 1 is more volatile than the overall market
- less than 1 is less volatile than the overall market
- equal to 1 is just as volatile as the overall market.

So basically, if Tesla had a beta of 2, it is twice as volatile as the S&P 500. If the S&P 500 went up 10 per cent you'd expect Tesla stock to go up 20 per cent.

But if the S&P 500 dropped 9 per cent, you'd expect Tesla to drop 18 per cent. Higher risk higher reward, remember.

You can also use beta to compare two companies you may be weighing up (you can simply search for the companies' betas online rather than figuring out how to calculate it on your own). If you want the less risky option, you choose the one with the lower beta.

Risks based on timelines

Risk can also be assessed based on the amount of time you're planning to hold your investment portfolio.

[Figure 7.4](#) (overleaf) is what the Russell 2000, an index filled with 2000 small-cap companies, looked like in one year: lots of ups and downs.

If you're investing for a longer period of time, the risk of losing money drops. [Figure 7.5](#) (overleaf) shows the same fund over an 20-year period; those weekly/daily bumps in the market are smoothed out.

When it comes to investing in broad market index funds, the shorter the time frame you have to work with, the higher the risk. As a result, investors in training choose what they invest in based on their time frame.